**In the books of Salem Recreation Club**

**Dr. Receipts and Payments Account for the year ended 31st March, 2019 Cr.**

| Receipts | ₹ | ₹ | Payments | ₹ |
|---|---|---|---|---|
| To Balance b/d: | | | By Furniture | 15,000 |
| Cash in hand | | 9,000 | By Stationery | 2,400 |
| To Subscriptions | | | By Investment | 12,500 |
| 2018 – 2019 | 12,500 | | By Postage | 1,000 |
| 2019 – 2020 | 400 | 12,900 | By Balance c/d: | |
| To Proceeds from entertainment | | 12,000 | Cash in hand | 3,500 |
| To Sundry receipts | | 500 | | |
| | | 34,400 | | 34,400 |

Additional information:

(i) There are 450 members each paying annual subscription of ₹ 30.

(ii) Stock of stationery on 31st March, 2018 ₹ 300 and on March 31, 2019 ₹ 500.

(iii) Capital fund as on 1st April 2018 was ₹ 9,300.

Prepare income and expenditure account for the year ended 31st March, 2019 and the balance sheet as on that date.

## Solution

Calculation of subscription to be received for the year 2018-19:

| | ₹ |
|---|---|
| Subscription for the current year (450 × ₹ 30) | 13,500 |
| Subscription received for the current year | 12,500 |
| Subscription outstanding for the current year (₹13,500 – ₹12,500) | 1,000 |

**In the books of Salem Recreation Club**

**Dr. Income and Expenditure Account for the year ended 31st March, 2019 Cr.**

| Expenditure | ₹ | ₹ | Income | ₹ | ₹ |
|---|---|---|---|---|---|
| To Stationery | 2,400 | | By Subscription | 12,500 | |
| Add: Opening stock | 300 | | Add: Outstanding for | | |
| | 2,700 | | 2018-19 | 1,000 | |
| Less: Closing stock | 500 | 2,200 | (450 × ₹ 30) | | 13,500 |
| To Postage | | 1,000 | By Proceeds from | | |
| To Excess of income | | | entertainment | | 12,000 |
| over expenditure (surplus) | | **22,800** | By Sundry receipts | | 500 |
| | | 26,000 | | | 26,000 |



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